



**2Q2026**  
**EARNINGS**

# Financial and Operational Schedules & Non-GAAP Reconciliations

July 22, 2026

**AT&T Inc.**  
**Financial Data**

| Consolidated Statements of Income                                                          |                 |                 |               |                  |                 |               |  |
|--------------------------------------------------------------------------------------------|-----------------|-----------------|---------------|------------------|-----------------|---------------|--|
| <i>Dollars in millions except per share amounts</i>                                        |                 |                 |               |                  |                 |               |  |
| <i>Unaudited</i>                                                                           |                 |                 |               |                  |                 |               |  |
|                                                                                            | Second Quarter  |                 | Percent       | Six-Month Period |                 | Percent       |  |
|                                                                                            | 2026            | 2025            | Change        | 2026             | 2025            | Change        |  |
| <b>Operating Revenues</b>                                                                  |                 |                 |               |                  |                 |               |  |
| Service                                                                                    | \$ 25,977       | \$ 25,292       | 2.7 %         | \$ 51,455        | \$ 50,430       | 2.0 %         |  |
| Equipment                                                                                  | 5,581           | 5,555           | 0.5 %         | 11,609           | 11,043          | 5.1 %         |  |
| <b>Total Operating Revenues</b>                                                            | <b>31,558</b>   | <b>30,847</b>   | <b>2.3 %</b>  | <b>63,064</b>    | <b>61,473</b>   | <b>2.6 %</b>  |  |
| <b>Operating Expenses</b>                                                                  |                 |                 |               |                  |                 |               |  |
| Cost of revenues                                                                           |                 |                 |               |                  |                 |               |  |
| Equipment                                                                                  | 5,741           | 5,738           | 0.1 %         | 12,046           | 11,432          | 5.4 %         |  |
| Other cost of revenues (exclusive of depreciation and amortization shown separately below) | 6,306           | 6,412           | (1.7)%        | 12,567           | 12,751          | (1.4)%        |  |
| Selling, general and administrative                                                        | 7,221           | 6,945           | 4.0 %         | 14,537           | 14,090          | 3.2 %         |  |
| Asset impairments and abandonments and restructuring                                       | 286             | —               | — %           | 286              | 504             | (43.3)%       |  |
| Depreciation and amortization                                                              | 4,966           | 5,251           | (5.4)%        | 9,932            | 10,441          | (4.9)%        |  |
| <b>Total Operating Expenses</b>                                                            | <b>24,520</b>   | <b>24,346</b>   | <b>0.7 %</b>  | <b>49,368</b>    | <b>49,218</b>   | <b>0.3 %</b>  |  |
| <b>Operating Income</b>                                                                    | <b>7,038</b>    | <b>6,501</b>    | <b>8.3 %</b>  | <b>13,696</b>    | <b>12,255</b>   | <b>11.8 %</b> |  |
| <b>Interest Expense</b>                                                                    | <b>1,883</b>    | <b>1,655</b>    | <b>13.8 %</b> | <b>3,696</b>     | <b>3,313</b>    | <b>11.6 %</b> |  |
| <b>Equity in Net Income (Loss) of Affiliates</b>                                           | <b>(29)</b>     | <b>485</b>      | <b>— %</b>    | <b>(70)</b>      | <b>1,925</b>    | <b>— %</b>    |  |
| <b>Other Income (Expense) — Net</b>                                                        | <b>696</b>      | <b>767</b>      | <b>(9.3)%</b> | <b>1,290</b>     | <b>1,222</b>    | <b>5.6 %</b>  |  |
| <b>Income from Continuing Operations Before Income Taxes</b>                               | <b>5,822</b>    | <b>6,098</b>    | <b>(4.5)%</b> | <b>11,220</b>    | <b>12,089</b>   | <b>(7.2)%</b> |  |
| Income tax expense on continuing operations                                                | 784             | 1,237           | (36.6)%       | 1,963            | 2,536           | (22.6)%       |  |
| <b>Income From Continuing Operations</b>                                                   | <b>5,038</b>    | <b>4,861</b>    | <b>3.6 %</b>  | <b>9,257</b>     | <b>9,553</b>    | <b>(3.1)%</b> |  |
| Loss from discontinued operations, net of tax                                              | (28)            | —               | — %           | (66)             | —               | — %           |  |
| <b>Net Income</b>                                                                          | <b>5,010</b>    | <b>4,861</b>    | <b>3.1 %</b>  | <b>9,191</b>     | <b>9,553</b>    | <b>(3.8)%</b> |  |
| <b>Net Income Attributable to Noncontrolling Interest</b>                                  | <b>(383)</b>    | <b>(361)</b>    | <b>(6.1)%</b> | <b>(735)</b>     | <b>(702)</b>    | <b>(4.7)%</b> |  |
| <b>Net Income Attributable to AT&amp;T</b>                                                 | <b>\$ 4,627</b> | <b>\$ 4,500</b> | <b>2.8 %</b>  | <b>\$ 8,456</b>  | <b>\$ 8,851</b> | <b>(4.5)%</b> |  |
| <b>Preferred Stock Dividends and Redemption Gain</b>                                       | <b>(36)</b>     | <b>(36)</b>     | <b>— %</b>    | <b>(72)</b>      | <b>8</b>        | <b>— %</b>    |  |
| <b>Net Income Attributable to Common Stock</b>                                             | <b>\$ 4,591</b> | <b>\$ 4,464</b> | <b>2.8 %</b>  | <b>\$ 8,384</b>  | <b>\$ 8,859</b> | <b>(5.4)%</b> |  |
| <b>Basic Earnings Per Share Attributable to Common Stock</b>                               |                 |                 |               |                  |                 |               |  |
| Income from continuing operations                                                          | \$ 0.66         | \$ 0.62         | 6.5 %         | \$ 1.21          | \$ 1.22         | (0.8)%        |  |
| Loss from discontinued operations                                                          | —               | —               | — %           | (0.01)           | —               | — %           |  |
|                                                                                            | \$ 0.66         | \$ 0.62         | 6.5 %         | \$ 1.20          | \$ 1.22         | (1.6)%        |  |
| Weighted Average Common Shares Outstanding (000,000)                                       | 6,938           | 7,209           | (3.8)%        | 6,977            | 7,211           | (3.2)%        |  |
| <b>Diluted Earnings Per Share Attributable to Common Stock</b>                             |                 |                 |               |                  |                 |               |  |
| Income from continuing operations                                                          | \$ 0.66         | \$ 0.62         | 6.5 %         | \$ 1.21          | \$ 1.22         | (0.8)%        |  |
| Loss from discontinued operations                                                          | —               | —               | — %           | (0.01)           | —               | — %           |  |
|                                                                                            | \$ 0.66         | \$ 0.62         | 6.5 %         | \$ 1.20          | \$ 1.22         | (1.6)%        |  |
| Weighted Average Common Shares Outstanding with Dilution (000,000)                         | 6,946           | 7,219           | (3.8)%        | 6,987            | 7,221           | (3.2)%        |  |

**AT&T Inc.**  
**Financial Data**

| Consolidated Balance Sheets                                                        |                    |                 |                 |
|------------------------------------------------------------------------------------|--------------------|-----------------|-----------------|
| <i>Dollars in millions</i>                                                         |                    |                 |                 |
|                                                                                    |                    | <b>Jun. 30,</b> | <b>Dec. 31,</b> |
|                                                                                    |                    | <b>2026</b>     | <b>2025</b>     |
| <b>Assets</b>                                                                      | <b>(Unaudited)</b> |                 |                 |
| <b>Current Assets</b>                                                              |                    |                 |                 |
| Cash and cash equivalents                                                          | \$                 | 17,570          | \$ 18,234       |
| Accounts receivable – net of related allowances for credit loss of \$372 and \$429 |                    | 8,521           | 8,843           |
| Inventories                                                                        |                    | 2,368           | 2,420           |
| Prepaid and other current assets                                                   |                    | 23,375          | 19,235          |
| Total current assets                                                               |                    | 51,834          | 48,732          |
| <b>Property, Plant and Equipment – Net</b>                                         |                    | 134,215         | 131,559         |
| <b>Goodwill – Net</b>                                                              |                    | 63,865          | 63,425          |
| <b>Licenses – Net</b>                                                              |                    | 129,123         | 128,148         |
| <b>Other Intangible Assets – Net</b>                                               |                    | 6,063           | 5,254           |
| <b>Investments in and Advances to Equity Affiliates</b>                            |                    | 1,130           | 1,106           |
| <b>Operating Lease Right-Of-Use Assets</b>                                         |                    | 22,781          | 22,642          |
| <b>Other Assets</b>                                                                |                    | 19,348          | 19,332          |
| <b>Total Assets</b>                                                                | \$                 | 428,359         | \$ 420,198      |
| <b>Liabilities and Stockholders' Equity</b>                                        |                    |                 |                 |
| <b>Current Liabilities</b>                                                         |                    |                 |                 |
| Debt maturing within one year                                                      | \$                 | 9,323           | \$ 9,011        |
| Accounts payable and accrued liabilities                                           |                    | 38,049          | 38,514          |
| Advanced billings and customer deposits                                            |                    | 4,065           | 4,266           |
| Dividends payable                                                                  |                    | 1,945           | 1,989           |
| Total current liabilities                                                          |                    | 53,382          | 53,780          |
| <b>Long-Term Debt</b>                                                              |                    | 134,631         | 127,089         |
| <b>Deferred Credits and Other Noncurrent Liabilities</b>                           |                    |                 |                 |
| Noncurrent deferred tax liabilities                                                |                    | 60,401          | 58,312          |
| Postemployment benefit obligation                                                  |                    | 8,267           | 8,478           |
| Operating lease liabilities                                                        |                    | 18,934          | 18,943          |
| Other noncurrent liabilities                                                       |                    | 24,305          | 25,104          |
| Total deferred credits and other noncurrent liabilities                            |                    | 111,907         | 110,837         |
| <b>Redeemable Noncontrolling Interest</b>                                          |                    | 2,005           | 2,001           |
| <b>Stockholders' Equity</b>                                                        |                    |                 |                 |
| Preferred stock                                                                    |                    | —               | —               |
| Common stock                                                                       |                    | 7,621           | 7,621           |
| Additional paid-in capital                                                         |                    | 106,161         | 106,533         |
| Retained earnings                                                                  |                    | 20,293          | 15,768          |
| Treasury stock                                                                     |                    | (22,446)        | (18,529)        |
| Accumulated other comprehensive income (loss)                                      |                    | (1,185)         | (860)           |
| Noncontrolling interest                                                            |                    | 15,990          | 15,958          |
| Total stockholders' equity                                                         |                    | 126,434         | 126,491         |
| <b>Total Liabilities and Stockholders' Equity</b>                                  | \$                 | 428,359         | \$ 420,198      |

**AT&T Inc.**  
**Financial Data**

| Consolidated Statements of Cash Flows                                                                                               |    |                  |           |
|-------------------------------------------------------------------------------------------------------------------------------------|----|------------------|-----------|
| <i>Dollars in millions</i>                                                                                                          |    | Six-Month Period |           |
| <i>Unaudited</i>                                                                                                                    |    | 2026             | 2025      |
| <b>Operating Activities</b>                                                                                                         |    |                  |           |
| Income from continuing operations                                                                                                   | \$ | 9,257            | \$ 9,553  |
| Adjustments to reconcile income from continuing operations to net cash provided by operating activities from continuing operations: |    |                  |           |
| Depreciation and amortization                                                                                                       |    | 9,932            | 10,441    |
| Provision for uncollectible accounts                                                                                                |    | 1,149            | 1,037     |
| Asset impairments and abandonments and restructuring                                                                                |    | 286              | 504       |
| Pension and postretirement benefit expense (credit)                                                                                 |    | (791)            | (794)     |
| Net (gain) loss on investments                                                                                                      |    | (170)            | (31)      |
| Changes in operating assets and liabilities:                                                                                        |    |                  |           |
| Receivables                                                                                                                         |    | (418)            | (247)     |
| Equipment installment receivables and related sales                                                                                 |    | (176)            | 1,115     |
| Contract asset and cost deferral                                                                                                    |    | (464)            | (299)     |
| Inventories, prepaid and other current assets                                                                                       |    | 320              | (317)     |
| Accounts payable and other accrued liabilities                                                                                      |    | (2,565)          | (4,440)   |
| Changes in income taxes                                                                                                             |    | 1,829            | 1,663     |
| Postretirement claims and contributions                                                                                             |    | (264)            | (103)     |
| Other - net                                                                                                                         |    | 471              | 730       |
| Total adjustments                                                                                                                   |    | 9,139            | 9,259     |
| Net Cash Provided by Operating Activities from Continuing Operations                                                                |    | 18,396           | 18,812    |
| <b>Investing Activities</b>                                                                                                         |    |                  |           |
| Capital expenditures                                                                                                                |    | (10,577)         | (9,174)   |
| Acquisitions, net of cash acquired                                                                                                  |    | (2,725)          | (48)      |
| Dispositions                                                                                                                        |    | 747              | 40        |
| (Purchases), sales and settlements of securities - net                                                                              |    | (24)             | (1,084)   |
| Other - net                                                                                                                         |    | (654)            | (778)     |
| Net Cash Used in Investing Activities from Continuing Operations                                                                    |    | (13,233)         | (11,044)  |
| <b>Financing Activities</b>                                                                                                         |    |                  |           |
| Issuance of long-term debt                                                                                                          |    | 14,037           | 6,429     |
| Repayment of long-term debt                                                                                                         |    | (5,398)          | (1,620)   |
| Payment of vendor financing                                                                                                         |    | (643)            | (423)     |
| Redemption of preferred stock                                                                                                       |    | —                | (2,075)   |
| Purchase of treasury stock                                                                                                          |    | (4,669)          | (1,179)   |
| Issuance of treasury stock                                                                                                          |    | 1                | 17        |
| Issuance of preferred interests in subsidiary                                                                                       |    | —                | 2,221     |
| Dividends paid                                                                                                                      |    | (3,973)          | (4,135)   |
| Other - net                                                                                                                         |    | (772)            | 167       |
| Net Cash Used in Financing Activities from Continuing Operations                                                                    |    | (1,417)          | (598)     |
| Net increase in cash and cash equivalents and restricted cash from continuing operations                                            |    | 3,746            | 7,170     |
| <b>Cash flows from Discontinued Operations:</b>                                                                                     |    |                  |           |
| Cash provided by operating activities                                                                                               |    | 31               | —         |
| Cash used in investing activities                                                                                                   |    | (4,363)          | —         |
| Cash used in financing activities                                                                                                   |    | —                | —         |
| Net increase (decrease) in cash and cash equivalents and restricted cash from discontinued operations                               |    | (4,332)          | —         |
| <b>Net increase (decrease) in cash and cash equivalents and restricted cash</b>                                                     | \$ | (586)            | \$ 7,170  |
| Cash and cash equivalents and restricted cash beginning of year                                                                     |    | 18,527           | 3,406     |
| <b>Cash and Cash Equivalents and Restricted Cash End of Period</b>                                                                  | \$ | 17,941           | \$ 10,576 |

**AT&T Inc.**  
**Consolidated Supplementary Data**

| Supplementary Financial Data                        |                |           |         |                  |           |          |
|-----------------------------------------------------|----------------|-----------|---------|------------------|-----------|----------|
| <i>Dollars in millions except per share amounts</i> |                |           |         |                  |           |          |
| <i>Unaudited</i>                                    | Second Quarter |           | Percent | Six-Month Period |           | Percent  |
|                                                     | <b>2026</b>    | 2025      | Change  | <b>2026</b>      | 2025      | Change   |
| Capital expenditures                                |                |           |         |                  |           |          |
| Purchase of property and equipment                  | \$ 5,651       | \$ 4,857  | 16.3 %  | \$ 10,486        | \$ 9,097  | 15.3 %   |
| Interest during construction                        | 49             | 40        | 22.5 %  | 91               | 77        | 18.2 %   |
| Total Capital Expenditures                          | \$ 5,700       | \$ 4,897  | 16.4 %  | \$ 10,577        | \$ 9,174  | 15.3 %   |
| Acquisitions, net of cash acquired                  |                |           |         |                  |           |          |
| Business acquisitions                               | \$ 35          | \$ —      | — %     | \$ 1,691         | \$ —      | — %      |
| Spectrum acquisitions                               | 16             | 13        | 23.1 %  | 1,034            | 14        | — %      |
| Interest during construction - spectrum             | —              | 15        | — %     | —                | 34        | — %      |
| Total Acquisitions                                  | \$ 51          | \$ 28     | 82.1 %  | \$ 2,725         | \$ 48     | — %      |
| Cash paid for interest                              | \$ 1,798       | \$ 1,512  | 18.9 %  | \$ 3,734         | \$ 3,316  | 12.6 %   |
| Cash paid for income taxes, net of (refunds)        | \$ 90          | \$ 869    | (89.6)% | \$ 91            | \$ 880    | (89.7) % |
| Dividends Declared per Common Share                 | \$ 0.2775      | \$ 0.2775 | — %     | \$ 0.5550        | \$ 0.5550 | — %      |
| End of Period Common Shares Outstanding (000,000)   |                |           |         | 6,879            | 7,161     | (3.9) %  |
| Debt Ratio                                          |                |           |         | 52.8 %           | 51.7 %    | 110 BP   |
| Total Employees                                     |                |           |         | 130,870          | 137,550   | (4.9) %  |

## ADVANCED CONNECTIVITY SEGMENT

The segment provides domestic 5G and fiber-based wireless, internet and other advanced connectivity services to consumer and business customers.

| Segment Results                          |                 |                 |               |          |                  |                  |               |
|------------------------------------------|-----------------|-----------------|---------------|----------|------------------|------------------|---------------|
| <i>Dollars in millions</i>               |                 |                 |               |          |                  |                  |               |
| <i>Unaudited</i>                         |                 |                 |               |          |                  |                  |               |
|                                          | Second Quarter  |                 | Percent       |          | Six-Month Period |                  | Percent       |
|                                          | 2026            | 2025            | Change        |          | 2026             | 2025             | Change        |
| <b>Operating Revenues</b>                |                 |                 |               |          |                  |                  |               |
| Wireless service                         | \$ 17,413       | \$ 16,853       | 3.3           | %        | \$ 34,354        | \$ 33,504        | 2.5           |
| Advanced home internet                   | 2,926           | 2,299           | 27.3          | %        | 5,725            | 4,497            | 27.3          |
| Business fiber and advanced connectivity | 1,946           | 1,769           | 10.0          | %        | 3,828            | 3,524            | 8.6           |
| Business transitional and other          | 1,042           | 1,249           | (16.6)        | %        | 2,125            | 2,543            | (16.4)        |
| Other service                            | 151             | 164             | (7.9)         | %        | 309              | 326              | (5.2)         |
| Total Service Revenues                   | 23,478          | 22,334          | 5.1           | %        | 46,341           | 44,394           | 4.4           |
| Equipment                                | 5,137           | 5,163           | (0.5)         | %        | 10,745           | 10,295           | 4.4           |
| <b>Total Segment Operating Revenues</b>  | <b>28,615</b>   | <b>27,497</b>   | <b>4.1</b>    | <b>%</b> | <b>57,086</b>    | <b>54,689</b>    | <b>4.4</b>    |
| <b>Operating Expenses</b>                |                 |                 |               |          |                  |                  |               |
| Operations and support                   | 16,583          | 16,356          | 1.4           | %        | 33,496           | 32,603           | 2.7           |
| Depreciation and amortization            | 4,687           | 5,035           | (6.9)         | %        | 9,392            | 10,008           | (6.2)         |
| <b>Total Segment Operating Expenses</b>  | <b>21,270</b>   | <b>21,391</b>   | <b>(0.6)</b>  | <b>%</b> | <b>42,888</b>    | <b>42,611</b>    | <b>0.7</b>    |
| <b>Operating Income</b>                  | <b>\$ 7,345</b> | <b>\$ 6,106</b> | <b>20.3</b>   | <b>%</b> | <b>\$ 14,198</b> | <b>\$ 12,078</b> | <b>17.6</b>   |
| <b>Operating Income Margin</b>           | <b>25.7 %</b>   | <b>22.2 %</b>   | <b>350 BP</b> |          | <b>24.9 %</b>    | <b>22.1 %</b>    | <b>280 BP</b> |

| Supplementary Operating Data                                                                                                                                                                                                                                                                            |                |         |          |                  |         |          |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------|----------|------------------|---------|----------|
| <i>Subscribers and connections in thousands</i>                                                                                                                                                                                                                                                         |                |         |          |                  |         |          |
| <i>Unaudited</i>                                                                                                                                                                                                                                                                                        |                |         |          |                  |         |          |
|                                                                                                                                                                                                                                                                                                         | June 30,       |         |          |                  | Percent |          |
|                                                                                                                                                                                                                                                                                                         | 2026           | 2025    |          |                  | Change  |          |
| <b>Retail Wireless Subscribers<sup>1</sup></b>                                                                                                                                                                                                                                                          | <b>109,800</b> | 108,696 |          |                  | 1.0 %   |          |
| Phone                                                                                                                                                                                                                                                                                                   | <b>91,439</b>  | 90,501  |          |                  | 1.0 %   |          |
| Postpaid phone                                                                                                                                                                                                                                                                                          | <b>74,921</b>  | 73,408  |          |                  | 2.1 %   |          |
| Prepaid phone                                                                                                                                                                                                                                                                                           | <b>16,518</b>  | 17,093  |          |                  | (3.4) % |          |
| Other                                                                                                                                                                                                                                                                                                   | <b>18,361</b>  | 18,195  |          |                  | 0.9 %   |          |
|                                                                                                                                                                                                                                                                                                         | Second Quarter |         | Percent  | Six-Month Period |         | Percent  |
|                                                                                                                                                                                                                                                                                                         | 2026           | 2025    | Change   | 2026             | 2025    | Change   |
| <b>Retail Wireless Net Adds<sup>1,2</sup></b>                                                                                                                                                                                                                                                           | <b>549</b>     | 327     | 67.9 %   | <b>707</b>       | 583     | 21.3 %   |
| Phone                                                                                                                                                                                                                                                                                                   | <b>436</b>     | 367     | 18.8 %   | <b>658</b>       | 671     | (1.9) %  |
| Postpaid phone                                                                                                                                                                                                                                                                                          | <b>432</b>     | 401     | 7.7 %    | <b>726</b>       | 725     | 0.1 %    |
| Prepaid phone                                                                                                                                                                                                                                                                                           | <b>4</b>       | (34)    | — %      | <b>(68)</b>      | (54)    | (25.9) % |
| Other                                                                                                                                                                                                                                                                                                   | <b>113</b>     | (40)    | — %      | <b>49</b>        | (88)    | — %      |
| Phone churn <sup>3</sup>                                                                                                                                                                                                                                                                                | <b>1.12 %</b>  | 1.17 %  | (5) BP   | <b>1.16 %</b>    | 1.15 %  | 1 BP     |
| Postpaid phone churn <sup>3</sup>                                                                                                                                                                                                                                                                       | <b>0.86 %</b>  | 0.87 %  | (1) BP   | <b>0.87 %</b>    | 0.85 %  | 2 BP     |
| Prepaid phone churn <sup>3</sup>                                                                                                                                                                                                                                                                        | <b>2.30 %</b>  | 2.43 %  | (13) BP  | <b>2.46 %</b>    | 2.49 %  | (3) BP   |
| <sup>1</sup> Wireless subscribers and net additions exclude customers with free lines provided under promotional pricing until such lines are converted to paying lines.                                                                                                                                |                |         |          |                  |         |          |
| <sup>2</sup> Excludes migrations between wireless subscriber categories, including connected devices, and acquisition-related activity.                                                                                                                                                                 |                |         |          |                  |         |          |
| <sup>3</sup> Calculated by dividing the aggregate number of wireless subscribers who canceled service during a month by the total number of wireless subscribers at the beginning of that month. The churn rate for the period is equal to the average of the churn rate for each month of that period. |                |         |          |                  |         |          |
|                                                                                                                                                                                                                                                                                                         | June 30,       |         |          |                  | Percent |          |
|                                                                                                                                                                                                                                                                                                         | 2026           | 2025    |          |                  | Change  |          |
| <b>Internet Connections</b>                                                                                                                                                                                                                                                                             | <b>15,479</b>  | 11,952  |          |                  | 29.5 %  |          |
| Fiber                                                                                                                                                                                                                                                                                                   | <b>12,868</b>  | 10,480  |          |                  | 22.8 %  |          |
| AT&T Fiber                                                                                                                                                                                                                                                                                              | <b>12,144</b>  | 9,835   |          |                  | 23.5 %  |          |
| AT&T Business Fiber <sup>1</sup>                                                                                                                                                                                                                                                                        | <b>724</b>     | 645     |          |                  | 12.2 %  |          |
| Fixed Wireless                                                                                                                                                                                                                                                                                          | <b>2,611</b>   | 1,472   |          |                  | 77.4 %  |          |
| AT&T Internet Air (AIA)                                                                                                                                                                                                                                                                                 | <b>1,951</b>   | 1,006   |          |                  | 93.9 %  |          |
| Business Fixed Wireless <sup>2</sup>                                                                                                                                                                                                                                                                    | <b>660</b>     | 466     |          |                  | 41.6 %  |          |
|                                                                                                                                                                                                                                                                                                         | Second Quarter |         | Percent  | Six-Month Period |         | Percent  |
|                                                                                                                                                                                                                                                                                                         | 2026           | 2025    | Change   | 2026             | 2025    | Change   |
| <b>Internet Net Adds<sup>3</sup></b>                                                                                                                                                                                                                                                                    | <b>646</b>     | 509     | 26.9 %   | <b>1,230</b>     | 1,025   | 20.0 %   |
| Fiber                                                                                                                                                                                                                                                                                                   | <b>367</b>     | 269     | 36.4 %   | <b>659</b>       | 552     | 19.4 %   |
| AT&T Fiber                                                                                                                                                                                                                                                                                              | <b>344</b>     | 243     | 41.6 %   | <b>617</b>       | 504     | 22.4 %   |
| AT&T Business Fiber <sup>1</sup>                                                                                                                                                                                                                                                                        | <b>23</b>      | 26      | (11.5) % | <b>42</b>        | 48      | (12.5) % |
| Fixed Wireless                                                                                                                                                                                                                                                                                          | <b>279</b>     | 240     | 16.3 %   | <b>571</b>       | 473     | 20.7 %   |
| AT&T Internet Air (AIA)                                                                                                                                                                                                                                                                                 | <b>215</b>     | 203     | 5.9 %    | <b>454</b>       | 384     | 18.2 %   |
| Business Fixed Wireless <sup>2</sup>                                                                                                                                                                                                                                                                    | <b>64</b>      | 37      | 73.0 %   | <b>117</b>       | 89      | 31.5 %   |
| <sup>1</sup> Includes fiber broadband internet for businesses and excludes dedicated and ethernet fiber.                                                                                                                                                                                                |                |         |          |                  |         |          |
| <sup>2</sup> Includes AT&T Internet Air for Business and historical fixed wireless services. Excludes integrated gateway wireless connections used for secondary or back-up connectivity.                                                                                                               |                |         |          |                  |         |          |
| <sup>3</sup> Excludes acquisition-related activity and the impact of customer disconnections resulting from the termination of AIA services in areas with unfavorable regulatory requirements in the first quarter of 2025.                                                                             |                |         |          |                  |         |          |

## LEGACY SEGMENT

The segment provides domestic legacy voice and data services to consumer and business customers over our copper-based network. Legacy segment results include revenues derived from copper-based services and direct operating costs.

| Segment Results                   |                 |                 |                   |                  |                 |                 |
|-----------------------------------|-----------------|-----------------|-------------------|------------------|-----------------|-----------------|
| <i>Dollars in millions</i>        |                 |                 |                   |                  |                 |                 |
| <i>Unaudited</i>                  |                 |                 |                   |                  |                 |                 |
|                                   | Second Quarter  |                 | Percent           | Six-Month Period |                 | Percent         |
|                                   | 2026            | 2025            | Change            | 2026             | 2025            | Change          |
| <b>Segment Operating Revenues</b> | <b>\$ 1,632</b> | <b>\$ 2,202</b> | <b>(25.9) %</b>   | <b>\$ 3,400</b>  | <b>\$ 4,570</b> | <b>(25.6) %</b> |
| <b>Segment Operating Expenses</b> |                 |                 |                   |                  |                 |                 |
| Operations and support            | 1,109           | 1,243           | (10.8) %          | 2,265            | 2,592           | (12.6) %        |
| Depreciation and amortization     | —               | —               | — %               | —                | —               | — %             |
| <b>Total Operating Expenses</b>   | <b>1,109</b>    | <b>1,243</b>    | <b>(10.8) %</b>   | <b>2,265</b>     | <b>2,592</b>    | <b>(12.6) %</b> |
| <b>Operating Income</b>           | <b>\$ 523</b>   | <b>\$ 959</b>   | <b>(45.5) %</b>   | <b>\$ 1,135</b>  | <b>\$ 1,978</b> | <b>(42.6) %</b> |
| <b>Operating Income Margin</b>    | <b>32.0 %</b>   | <b>43.6 %</b>   | <b>(1,160) BP</b> | <b>33.4 %</b>    | <b>43.3 %</b>   | <b>(990) BP</b> |



## LATIN AMERICA SEGMENT

The segment provides wireless services and equipment to customers in Mexico.

| Segment Results                         |                |              |                 |                  |              |                 |
|-----------------------------------------|----------------|--------------|-----------------|------------------|--------------|-----------------|
| <i>Dollars in millions</i>              |                |              |                 |                  |              |                 |
| <i>Unaudited</i>                        |                |              |                 |                  |              |                 |
|                                         | Second Quarter |              | Percent         | Six-Month Period |              | Percent         |
|                                         | 2026           | 2025         | Change          | 2026             | 2025         | Change          |
| <b>Operating Revenues</b>               |                |              |                 |                  |              |                 |
| Wireless service                        | \$ 780         | \$ 662       | 17.8 %          | \$ 1,533         | \$ 1,277     | 20.0 %          |
| Wireless equipment                      | 444            | 392          | 13.3 %          | 864              | 748          | 15.5 %          |
| <b>Total Segment Operating Revenues</b> | <b>1,224</b>   | <b>1,054</b> | <b>16.1 %</b>   | <b>2,397</b>     | <b>2,025</b> | <b>18.4 %</b>   |
| <b>Operating Expenses</b>               |                |              |                 |                  |              |                 |
| Operations and support                  | 997            | 853          | 16.9 %          | 1,950            | 1,631        | 19.6 %          |
| Depreciation and amortization           | 189            | 155          | 21.9 %          | 389              | 305          | 27.5 %          |
| <b>Total Segment Operating Expenses</b> | <b>1,186</b>   | <b>1,008</b> | <b>17.7 %</b>   | <b>2,339</b>     | <b>1,936</b> | <b>20.8 %</b>   |
| <b>Operating Income</b>                 | <b>\$ 38</b>   | <b>\$ 46</b> | <b>(17.4) %</b> | <b>\$ 58</b>     | <b>\$ 89</b> | <b>(34.8) %</b> |
| <b>Operating Income Margin</b>          | <b>3.1 %</b>   | <b>4.4 %</b> | <b>(130) BP</b> | <b>2.4 %</b>     | <b>4.4 %</b> | <b>(200) BP</b> |

| Supplementary Operating Data                    |                |               |              |          |
|-------------------------------------------------|----------------|---------------|--------------|----------|
| <i>Subscribers and connections in thousands</i> |                |               |              |          |
| <i>Unaudited</i>                                |                |               |              |          |
|                                                 | June 30,       |               | Percent      |          |
|                                                 | 2026           | 2025          | Change       |          |
| <b>Mexico Wireless Subscribers</b>              |                |               |              |          |
| Postpaid                                        | 7,457          | 6,180         | 20.7         | %        |
| Prepaid                                         | 15,829         | 17,440        | (9.2)        | %        |
| Reseller                                        | 149            | 223           | (33.2)       | %        |
| <b>Total Mexico Wireless Subscribers</b>        | <b>23,435</b>  | <b>23,843</b> | <b>(1.7)</b> | <b>%</b> |
|                                                 | Second Quarter |               | Percent      |          |
|                                                 | 2026           | 2025          | Change       |          |
| <b>Mexico Wireless Net Additions</b>            |                |               |              |          |
| Postpaid                                        | 369            | 183           | —            | %        |
| Prepaid                                         | (1,006)        | 64            | —            | %        |
| Reseller                                        | (31)           | (12)          | —            | %        |
| <b>Total Mexico Wireless Net Additions</b>      | <b>(668)</b>   | <b>235</b>    | <b>—</b>     | <b>%</b> |

## SUPPLEMENTAL INFORMATION - ADVANCED CONNECTIVITY

We provide supplemental information on our advanced consumer and business customer relationships in the following tables as the product lifecycles in these customer categories influence the growth trajectories of Advanced Connectivity segment results.

| Consumer Results                |                 |                 |               |  |                  |                  |               |
|---------------------------------|-----------------|-----------------|---------------|--|------------------|------------------|---------------|
| <i>Dollars in millions</i>      |                 |                 |               |  |                  |                  |               |
| <i>Unaudited</i>                |                 |                 |               |  |                  |                  |               |
|                                 | Second Quarter  |                 | Percent       |  | Six-Month Period |                  | Percent       |
|                                 | 2026            | 2025            | Change        |  | 2026             | 2025             | Change        |
| <b>Operating Revenues</b>       |                 |                 |               |  |                  |                  |               |
| Wireless service                | \$ 14,992       | \$ 14,559       | 3.0 %         |  | \$ 29,576        | \$ 28,929        | 2.2 %         |
| Advanced home internet          | 2,926           | 2,299           | 27.3 %        |  | 5,725            | 4,497            | 27.3 %        |
| Other service                   | 151             | 164             | (7.9) %       |  | 309              | 326              | (5.2) %       |
| Total Service Revenues          | 18,069          | 17,022          | 6.2 %         |  | 35,610           | 33,752           | 5.5 %         |
| Equipment                       | 4,260           | 4,273           | (0.3) %       |  | 8,871            | 8,519            | 4.1 %         |
| <b>Total Operating Revenues</b> | <b>22,329</b>   | <b>21,295</b>   | <b>4.9 %</b>  |  | <b>44,481</b>    | <b>42,271</b>    | <b>5.2 %</b>  |
| <b>Operating Expenses</b>       |                 |                 |               |  |                  |                  |               |
| Operations and support          | 12,234          | 11,866          | 3.1 %         |  | 24,823           | 23,667           | 4.9 %         |
| Depreciation and amortization   | 2,976           | 3,056           | (2.6) %       |  | 5,998            | 6,067            | (1.1) %       |
| <b>Total Operating Expenses</b> | <b>15,210</b>   | <b>14,922</b>   | <b>1.9 %</b>  |  | <b>30,821</b>    | <b>29,734</b>    | <b>3.7 %</b>  |
| <b>Operating Income</b>         | <b>\$ 7,119</b> | <b>\$ 6,373</b> | <b>11.7 %</b> |  | <b>\$ 13,660</b> | <b>\$ 12,537</b> | <b>9.0 %</b>  |
| <b>Operating Income Margin</b>  | <b>31.9 %</b>   | <b>29.9 %</b>   | <b>200 BP</b> |  | <b>30.7 %</b>    | <b>29.7 %</b>    | <b>100 BP</b> |

| Business Results                |                |                 |                |  |                  |                 |                |
|---------------------------------|----------------|-----------------|----------------|--|------------------|-----------------|----------------|
| <i>Dollars in millions</i>      |                |                 |                |  |                  |                 |                |
| <i>Unaudited</i>                |                |                 |                |  |                  |                 |                |
|                                 | Second Quarter |                 | Percent        |  | Six-Month Period |                 | Percent        |
|                                 | 2026           | 2025            | Change         |  | 2026             | 2025            | Change         |
| <b>Operating Revenues</b>       |                |                 |                |  |                  |                 |                |
| Wireless service                | \$ 2,421       | \$ 2,294        | 5.5 %          |  | \$ 4,778         | \$ 4,575        | 4.4 %          |
| Fiber and advanced connectivity | 1,946          | 1,769           | 10.0 %         |  | 3,828            | 3,524           | 8.6 %          |
| Transitional and other service  | 1,042          | 1,249           | (16.6) %       |  | 2,125            | 2,543           | (16.4) %       |
| Total Service Revenues          | 5,409          | 5,312           | 1.8 %          |  | 10,731           | 10,642          | 0.8 %          |
| Equipment                       | 877            | 890             | (1.5) %        |  | 1,874            | 1,776           | 5.5 %          |
| <b>Total Operating Revenues</b> | <b>6,286</b>   | <b>6,202</b>    | <b>1.4 %</b>   |  | <b>12,605</b>    | <b>12,418</b>   | <b>1.5 %</b>   |
| <b>Operating Expenses</b>       |                |                 |                |  |                  |                 |                |
| Operations and support          | 4,349          | 4,490           | (3.1) %        |  | 8,673            | 8,936           | (2.9) %        |
| Depreciation and amortization   | 1,711          | 1,979           | (13.5) %       |  | 3,394            | 3,941           | (13.9) %       |
| <b>Total Operating Expenses</b> | <b>6,060</b>   | <b>6,469</b>    | <b>(6.3) %</b> |  | <b>12,067</b>    | <b>12,877</b>   | <b>(6.3) %</b> |
| <b>Operating Income (Loss)</b>  | <b>\$ 226</b>  | <b>\$ (267)</b> | <b>— %</b>     |  | <b>\$ 538</b>    | <b>\$ (459)</b> | <b>— %</b>     |
| <b>Operating Income Margin</b>  | <b>3.6 %</b>   | <b>(4.3)%</b>   | <b>790 BP</b>  |  | <b>4.3 %</b>     | <b>(3.7)%</b>   | <b>800 BP</b>  |

## SUPPLEMENTAL SEGMENT RECONCILIATION

| Three Months Ended                                   |                          |               |                  |                  |                      |                 |          |
|------------------------------------------------------|--------------------------|---------------|------------------|------------------|----------------------|-----------------|----------|
| <i>Dollars in millions</i>                           |                          |               |                  |                  |                      |                 |          |
| <i>Unaudited</i>                                     |                          |               |                  |                  |                      |                 |          |
| <b>June 30, 2026</b>                                 |                          |               |                  |                  |                      |                 |          |
|                                                      | Advanced<br>Connectivity | Legacy        | Latin<br>America | Total<br>Segment | Corporate<br>& Other | AT&T<br>Inc.    |          |
| <b>Operating Revenues</b>                            |                          |               |                  |                  |                      |                 |          |
| Wireless service                                     | \$ 17,413                | \$ —          | \$ 780           | \$ 18,193        | \$ —                 | \$ 18,193       |          |
| <i>Consumer</i>                                      | 14,992                   |               |                  |                  |                      |                 |          |
| <i>Business</i>                                      | 2,421                    |               |                  |                  |                      |                 |          |
| Advanced home internet                               | 2,926                    | —             | —                | 2,926            | —                    | 2,926           |          |
| Business fiber and advanced connectivity             | 1,946                    | —             | —                | 1,946            | —                    | 1,946           |          |
| Business transitional and other                      | 1,042                    | —             | —                | 1,042            | —                    | 1,042           |          |
| Other service                                        | 151                      | 1,632         | —                | 1,783            | 87                   | 1,870           |          |
| Total Service                                        | 23,478                   | 1,632         | 780              | 25,890           | 87                   | 25,977          |          |
| Equipment                                            | 5,137                    | —             | 444              | 5,581            | —                    | 5,581           |          |
| <b>Operating Revenues</b>                            | <b>28,615</b>            | <b>1,632</b>  | <b>1,224</b>     | <b>31,471</b>    | <b>87</b>            | <b>31,558</b>   |          |
| <b>Operating Expenses</b>                            |                          |               |                  |                  |                      |                 |          |
| Operations and support expenses                      | 16,583                   | 1,109         | 997              | 18,689           | 430                  | 19,119          |          |
| Asset impairments and abandonments and restructuring | —                        | —             | —                | —                | 286                  | 286             |          |
| Transaction, legal and other costs                   | —                        | —             | —                | —                | 149                  | 149             |          |
| Depreciation and amortization                        | 4,687                    | —             | 189              | 4,876            | 90                   | 4,966           |          |
| <b>Operating Expenses</b>                            | <b>21,270</b>            | <b>1,109</b>  | <b>1,186</b>     | <b>23,565</b>    | <b>955</b>           | <b>24,520</b>   |          |
| <b>Operating Income (Loss)</b>                       | <b>\$ 7,345</b>          | <b>\$ 523</b> | <b>\$ 38</b>     | <b>\$ 7,906</b>  | <b>\$ (868)</b>      | <b>\$ 7,038</b> |          |
| Total other income (expense)                         |                          |               |                  |                  |                      |                 | (1,216)  |
| Income from continuing operations before income tax  |                          |               |                  |                  |                      |                 | \$ 5,822 |
| <b>June 30, 2025</b>                                 |                          |               |                  |                  |                      |                 |          |
|                                                      | Advanced<br>Connectivity | Legacy        | Latin<br>America | Total<br>Segment | Corporate<br>& Other | AT&T<br>Inc.    |          |
| <b>Operating Revenues</b>                            |                          |               |                  |                  |                      |                 |          |
| Wireless service                                     | \$ 16,853                | \$ —          | \$ 662           | \$ 17,515        | \$ —                 | \$ 17,515       |          |
| <i>Consumer</i>                                      | 14,559                   |               |                  |                  |                      |                 |          |
| <i>Business</i>                                      | 2,294                    |               |                  |                  |                      |                 |          |
| Advanced home internet                               | 2,299                    | —             | —                | 2,299            | —                    | 2,299           |          |
| Business fiber and advanced connectivity             | 1,769                    | —             | —                | 1,769            | —                    | 1,769           |          |
| Business transitional and other                      | 1,249                    | —             | —                | 1,249            | —                    | 1,249           |          |
| Other service                                        | 164                      | 2,202         | —                | 2,366            | 94                   | 2,460           |          |
| Total Service                                        | 22,334                   | 2,202         | 662              | 25,198           | 94                   | 25,292          |          |
| Equipment                                            | 5,163                    | —             | 392              | 5,555            | —                    | 5,555           |          |
| <b>Operating Revenues</b>                            | <b>27,497</b>            | <b>2,202</b>  | <b>1,054</b>     | <b>30,753</b>    | <b>94</b>            | <b>30,847</b>   |          |
| <b>Operating Expenses</b>                            |                          |               |                  |                  |                      |                 |          |
| Operations and support expenses                      | 16,356                   | 1,243         | 853              | 18,452           | 594                  | 19,046          |          |
| Asset impairments and abandonments and restructuring | —                        | —             | —                | —                | —                    | —               |          |
| Transaction, legal and other costs                   | —                        | —             | —                | —                | 49                   | 49              |          |
| Depreciation and amortization                        | 5,035                    | —             | 155              | 5,190            | 61                   | 5,251           |          |
| <b>Operating Expenses</b>                            | <b>21,391</b>            | <b>1,243</b>  | <b>1,008</b>     | <b>23,642</b>    | <b>704</b>           | <b>24,346</b>   |          |
| <b>Operating Income (Loss)</b>                       | <b>\$ 6,106</b>          | <b>\$ 959</b> | <b>\$ 46</b>     | <b>\$ 7,111</b>  | <b>\$ (610)</b>      | <b>\$ 6,501</b> |          |
| Total other income (expense)                         |                          |               |                  |                  |                      |                 | (403)    |
| Income from continuing operations before income tax  |                          |               |                  |                  |                      |                 | \$ 6,098 |

## SUPPLEMENTAL SEGMENT RECONCILIATION

| Six Months Ended                                     |                          |                 |                  |                  |                      |                  |
|------------------------------------------------------|--------------------------|-----------------|------------------|------------------|----------------------|------------------|
| <i>Dollars in millions</i>                           |                          |                 |                  |                  |                      |                  |
| <i>Unaudited</i>                                     |                          |                 |                  |                  |                      |                  |
| <b>June 30, 2026</b>                                 |                          |                 |                  |                  |                      |                  |
|                                                      | Advanced<br>Connectivity | Legacy          | Latin<br>America | Total<br>Segment | Corporate<br>& Other | AT&T<br>Inc.     |
| <b>Operating Revenues</b>                            |                          |                 |                  |                  |                      |                  |
| Wireless service                                     | \$ 34,354                | \$ —            | \$ 1,533         | \$ 35,887        | \$ —                 | \$ 35,887        |
| <i>Consumer</i>                                      | 29,576                   |                 |                  |                  |                      |                  |
| <i>Business</i>                                      | 4,778                    |                 |                  |                  |                      |                  |
| Advanced home internet                               | 5,725                    | —               | —                | 5,725            | —                    | 5,725            |
| Business fiber and advanced connectivity             | 3,828                    | —               | —                | 3,828            | —                    | 3,828            |
| Business transitional and other                      | 2,125                    | —               | —                | 2,125            | —                    | 2,125            |
| Other service                                        | 309                      | 3,400           | —                | 3,709            | 181                  | 3,890            |
| Total Service                                        | 46,341                   | 3,400           | 1,533            | 51,274           | 181                  | 51,455           |
| Equipment                                            | 10,745                   | —               | 864              | 11,609           | —                    | 11,609           |
| <b>Operating Revenues</b>                            | <b>57,086</b>            | <b>3,400</b>    | <b>2,397</b>     | <b>62,883</b>    | <b>181</b>           | <b>63,064</b>    |
| <b>Operating Expenses</b>                            |                          |                 |                  |                  |                      |                  |
| Operations and support expenses                      | 33,496                   | 2,265           | 1,950            | 37,711           | 1,144                | 38,855           |
| Asset impairments and abandonments and restructuring | —                        | —               | —                | —                | 286                  | 286              |
| Transaction, legal and other costs                   | —                        | —               | —                | —                | 295                  | 295              |
| Depreciation and amortization                        | 9,392                    | —               | 389              | 9,781            | 151                  | 9,932            |
| <b>Operating Expenses</b>                            | <b>42,888</b>            | <b>2,265</b>    | <b>2,339</b>     | <b>47,492</b>    | <b>1,876</b>         | <b>49,368</b>    |
| <b>Operating Income (Loss)</b>                       | <b>\$ 14,198</b>         | <b>\$ 1,135</b> | <b>\$ 58</b>     | <b>\$ 15,391</b> | <b>\$ (1,695)</b>    | <b>\$ 13,696</b> |
| Total other income (expense)                         |                          |                 |                  |                  |                      | (2,476)          |
| Income from continuing operations before income tax  |                          |                 |                  |                  |                      | \$ 11,220        |
| <b>June 30, 2025</b>                                 |                          |                 |                  |                  |                      |                  |
|                                                      | Advanced<br>Connectivity | Legacy          | Latin<br>America | Total<br>Segment | Corporate<br>& Other | AT&T<br>Inc.     |
| <b>Operating Revenues</b>                            |                          |                 |                  |                  |                      |                  |
| Wireless service                                     | \$ 33,504                | \$ —            | \$ 1,277         | \$ 34,781        | \$ —                 | \$ 34,781        |
| <i>Consumer</i>                                      | 28,929                   |                 |                  |                  |                      |                  |
| <i>Business</i>                                      | 4,575                    |                 |                  |                  |                      |                  |
| Advanced home internet                               | 4,497                    | —               | —                | 4,497            | —                    | 4,497            |
| Business fiber and advanced connectivity             | 3,524                    | —               | —                | 3,524            | —                    | 3,524            |
| Business transitional and other                      | 2,543                    | —               | —                | 2,543            | —                    | 2,543            |
| Other service                                        | 326                      | 4,570           | —                | 4,896            | 189                  | 5,085            |
| Total Service                                        | 44,394                   | 4,570           | 1,277            | 50,241           | 189                  | 50,430           |
| Equipment                                            | 10,295                   | —               | 748              | 11,043           | —                    | 11,043           |
| <b>Operating Revenues</b>                            | <b>54,689</b>            | <b>4,570</b>    | <b>2,025</b>     | <b>61,284</b>    | <b>189</b>           | <b>61,473</b>    |
| <b>Operating Expenses</b>                            |                          |                 |                  |                  |                      |                  |
| Operations and support expenses                      | 32,603                   | 2,592           | 1,631            | 36,826           | 1,319                | 38,145           |
| Asset impairments and abandonments and restructuring | —                        | —               | —                | —                | 504                  | 504              |
| Transaction, legal and other costs                   | —                        | —               | —                | —                | 128                  | 128              |
| Depreciation and amortization                        | 10,008                   | —               | 305              | 10,313           | 128                  | 10,441           |
| <b>Operating Expenses</b>                            | <b>42,611</b>            | <b>2,592</b>    | <b>1,936</b>     | <b>47,139</b>    | <b>2,079</b>         | <b>49,218</b>    |
| <b>Operating Income (Loss)</b>                       | <b>\$ 12,078</b>         | <b>\$ 1,978</b> | <b>\$ 89</b>     | <b>\$ 14,145</b> | <b>\$ (1,890)</b>    | <b>\$ 12,255</b> |
| Total other income (expense)                         |                          |                 |                  |                  |                      | (166)            |
| Income from continuing operations before income tax  |                          |                 |                  |                  |                      | \$ 12,089        |

## Discussion and Reconciliation of Non-GAAP Measures

We believe the following measures are relevant and useful information to investors as they are part of AT&T's internal management reporting and planning processes and are important metrics that management uses to evaluate the operating performance of AT&T and its segments. Management also uses these measures as a method of comparing performance with that of many of our competitors. These measures should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with U.S. generally accepted accounting principles (GAAP).

On February 2, 2026, we closed our transaction with Lumen Technologies, Inc. (Lumen) and acquired substantially all of Lumen's Mass Markets fiber business. The acquisition included customer relationships, which we include with our advanced home internet services, and fiber network assets that were placed in a wholly owned subsidiary, Forged Fiber 37 Services, LLC (Forged Fiber). We plan to sell a controlling interest in Forged Fiber to an equity partner that will co-invest in the ongoing business. As such, Forged Fiber met the criteria of held-for-sale and accordingly is reflected as discontinued operations in the accompanying financial statements. The information below refers only to our continuing operations and does not include discussion of balances or activity of Forged Fiber.

### Free Cash Flow

Free cash flow is defined as cash from operations minus cash flows related to our DIRECTV equity investment that was sold in July 2025, minus capital expenditures and cash paid for vendor financing (classified as financing activities). Free cash flow after dividends is defined as cash from operations minus cash flows related to our DIRECTV equity investment, capital expenditures, cash paid for vendor financing and dividends on common and preferred shares. Free cash flow dividend payout ratio is defined as the percentage of dividends paid on common and preferred shares to free cash flow. We believe these metrics provide useful information to our investors because management views free cash flow as an important indicator of how much cash is generated by routine business operations, including capital expenditures and vendor financing, and makes decisions based on it. Management also views free cash flow as a measure of cash available to pay debt and return cash to shareowners.

| Free Cash Flow and Free Cash Flow Dividend Payout Ratio              |                |               |                  |               |
|----------------------------------------------------------------------|----------------|---------------|------------------|---------------|
| <i>Dollars in millions</i>                                           |                |               |                  |               |
|                                                                      | Second Quarter |               | Six-Month Period |               |
|                                                                      | 2026           | 2025          | 2026             | 2025          |
| Net Cash Provided by Operating Activities from Continuing Operations | \$ 10,801      | \$ 9,763      | \$ 18,396        | \$ 18,812     |
| Less: Distributions from DIRECTV classified as operating activities  | —              | (503)         | —                | (1,926)       |
| Less: Cash taxes paid on DIRECTV                                     | —              | 251           | —                | 251           |
| Less: Capital expenditures                                           | (5,700)        | (4,897)       | (10,577)         | (9,174)       |
| Less: Payment of vendor financing                                    | (431)          | (220)         | (643)            | (423)         |
| <b>Free Cash Flow</b>                                                | <b>4,670</b>   | <b>4,394</b>  | <b>7,176</b>     | <b>7,540</b>  |
| Less: Dividends paid                                                 | (1,976)        | (2,044)       | (3,973)          | (4,135)       |
| Free Cash Flow after Dividends                                       | \$ 2,694       | \$ 2,350      | \$ 3,203         | \$ 3,405      |
| <b>Free Cash Flow Dividend Payout Ratio</b>                          | <b>42.3 %</b>  | <b>46.5 %</b> | <b>55.4 %</b>    | <b>54.8 %</b> |

### Cash Paid for Capital Investment

In connection with capital improvements, we negotiate with some of our vendors to obtain favorable payment terms of 120 days or more, referred to as vendor financing, which are excluded from capital expenditures and reported in accordance with GAAP as financing activities. We present an additional view of cash paid for capital investment to provide investors with a comprehensive view of cash used to invest in our networks, product developments and support systems.

| Cash Paid for Capital Investment        |                   |                   |                    |                   |
|-----------------------------------------|-------------------|-------------------|--------------------|-------------------|
| <i>Dollars in millions</i>              |                   |                   |                    |                   |
|                                         | Second Quarter    |                   | Six-Month Period   |                   |
|                                         | 2026              | 2025              | 2026               | 2025              |
| Capital expenditures                    | \$ (5,700)        | \$ (4,897)        | \$ (10,577)        | \$ (9,174)        |
| Payment of vendor financing             | (431)             | (220)             | (643)              | (423)             |
| <b>Cash paid for Capital Investment</b> | <b>\$ (6,131)</b> | <b>\$ (5,117)</b> | <b>\$ (11,220)</b> | <b>\$ (9,597)</b> |

## EBITDA

Our calculation of EBITDA, as presented, may differ from similarly titled measures reported by other companies. For AT&T, EBITDA excludes other income (expense) – net, and equity in net income (loss) of affiliates, as these do not reflect the operating results of our subscriber base or operations that are not under our control. Equity in net income (loss) of affiliates represents the proportionate share of the net income (loss) of affiliates in which we exercise significant influence, but do not control. Because we do not control these entities, management excludes these results when evaluating the performance of our primary operations. EBITDA also excludes interest expense and the provision for income taxes. Excluding these items eliminates the expenses associated with our capital and tax structures. Finally, EBITDA excludes depreciation and amortization in order to eliminate the impact of capital investments. EBITDA does not give effect to cash used for debt service requirements and thus does not reflect available funds for distributions, reinvestment or other discretionary uses. EBITDA is not presented as an alternative measure of operating results or cash flows from operations, as determined in accordance with GAAP.

These measures are used by management as a gauge of our success in acquiring, retaining and servicing subscribers because we believe these measures reflect AT&T's ability to generate and grow subscriber revenues while providing a high level of customer service in a cost-effective manner. Management also uses these measures as a method of comparing cash generation potential with that of many of its competitors. The financial and operating metrics which affect EBITDA include the key revenue and expense drivers for which management is responsible and upon which we evaluate performance.

There are material limitations to using these non-GAAP financial measures. EBITDA and EBITDA margin, as we have defined them, may not be comparable to similarly titled measures reported by other companies. Furthermore, these performance measures do not take into account certain significant items, including depreciation and amortization, interest expense, tax expense and equity in net income (loss) of affiliates. For market comparability, management analyzes performance measures that are similar in nature to EBITDA as we present it, and considering the economic effect of the excluded expense items independently as well as in connection with its analysis of net income as calculated in accordance with GAAP. EBITDA and EBITDA margin should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with GAAP.

| EBITDA and Adjusted EBITDA                           |                  |                  |                  |                  |
|------------------------------------------------------|------------------|------------------|------------------|------------------|
| <i>Dollars in millions</i>                           |                  |                  |                  |                  |
|                                                      | Second Quarter   |                  | Six-Month Period |                  |
|                                                      | 2026             | 2025             | 2026             | 2025             |
| <b>Income from Continuing Operations</b>             | \$ 5,038         | \$ 4,861         | \$ 9,257         | \$ 9,553         |
| Additions:                                           |                  |                  |                  |                  |
| Income Tax Expense                                   | 784              | 1,237            | 1,963            | 2,536            |
| Interest Expense                                     | 1,883            | 1,655            | 3,696            | 3,313            |
| Equity in Net (Income) Loss of Affiliates            | 29               | (485)            | 70               | (1,925)          |
| Other (Income) Expense - Net                         | (696)            | (767)            | (1,290)          | (1,222)          |
| Depreciation and amortization                        | 4,966            | 5,251            | 9,932            | 10,441           |
| <b>EBITDA</b>                                        | <b>12,004</b>    | <b>11,752</b>    | <b>23,628</b>    | <b>22,696</b>    |
| Transaction, legal and other costs                   | 149              | 49               | 295              | 128              |
| Benefit-related (gain) loss                          | (101)            | (70)             | (76)             | (64)             |
| Asset impairments and abandonments and restructuring | 286              | —                | 286              | 504              |
| <b>Adjusted EBITDA<sup>1</sup></b>                   | <b>\$ 12,338</b> | <b>\$ 11,731</b> | <b>\$ 24,133</b> | <b>\$ 23,264</b> |

<sup>1</sup> See "Adjusting Items" section for additional discussion and reconciliation of adjusted items.

| Segment EBITDA and EBITDA Margin     |                |           |                  |           |
|--------------------------------------|----------------|-----------|------------------|-----------|
| <i>Dollars in millions</i>           |                |           |                  |           |
|                                      | Second Quarter |           | Six-Month Period |           |
|                                      | 2026           | 2025      | 2026             | 2025      |
| <b>Advanced Connectivity Segment</b> |                |           |                  |           |
| Operating Income                     | \$ 7,345       | \$ 6,106  | \$ 14,198        | \$ 12,078 |
| Add: Depreciation and amortization   | 4,687          | 5,035     | 9,392            | 10,008    |
| EBITDA                               | \$ 12,032      | \$ 11,141 | \$ 23,590        | \$ 22,086 |
| Total Operating Revenues             | \$ 28,615      | \$ 27,497 | \$ 57,086        | \$ 54,689 |
| Operating Income Margin              | 25.7 %         | 22.2 %    | 24.9 %           | 22.1 %    |
| EBITDA Margin                        | 42.0 %         | 40.5 %    | 41.3 %           | 40.4 %    |
| <b>Legacy Segment</b>                |                |           |                  |           |
| Operating Income                     | \$ 523         | \$ 959    | \$ 1,135         | \$ 1,978  |
| Add: Depreciation and amortization   | —              | —         | —                | —         |
| EBITDA                               | \$ 523         | \$ 959    | \$ 1,135         | \$ 1,978  |
| Total Operating Revenues             | \$ 1,632       | \$ 2,202  | \$ 3,400         | \$ 4,570  |
| Operating Income Margin              | 32.0 %         | 43.6 %    | 33.4 %           | 43.3 %    |
| EBITDA Margin                        | 32.0 %         | 43.6 %    | 33.4 %           | 43.3 %    |
| <b>Latin America Segment</b>         |                |           |                  |           |
| Operating Income                     | \$ 38          | \$ 46     | \$ 58            | \$ 89     |
| Add: Depreciation and amortization   | 189            | 155       | 389              | 305       |
| EBITDA                               | \$ 227         | \$ 201    | \$ 447           | \$ 394    |
| Total Operating Revenues             | \$ 1,224       | \$ 1,054  | \$ 2,397         | \$ 2,025  |
| Operating Income Margin              | 3.1 %          | 4.4 %     | 2.4 %            | 4.4 %     |
| EBITDA Margin                        | 18.5 %         | 19.1 %    | 18.6 %           | 19.5 %    |

### Adjusting Items

Adjusting items include revenues and costs we consider non-operational in nature, including items arising from asset acquisitions or dispositions, including the amortization of intangible assets. While the expense associated with the amortization of certain wireless licenses and customer lists is excluded, the revenue of the acquired companies is reflected in the measure and that those assets contribute to revenue generation. We also adjust for net actuarial gains or losses associated with our pension and postemployment benefit plans due to the often-significant impact on our results (we immediately recognize this gain or loss in the income statement, pursuant to our accounting policy for the recognition of actuarial gains and losses). Consequently, our adjusted results reflect an expected return on plan assets rather than the actual return on plan assets, as included in the GAAP measure of income.

The tax impact of adjusting items is calculated using the adjusted effective tax rate during the quarter except for adjustments that, given their magnitude, can drive a change in the effective tax rate, in these cases we use the actual tax expense or combined marginal rate of approximately 25%.

| Adjusting Items                                                                      |                 |                 |                  |                   |
|--------------------------------------------------------------------------------------|-----------------|-----------------|------------------|-------------------|
| <i>Dollars in millions</i>                                                           |                 |                 |                  |                   |
|                                                                                      | Second Quarter  |                 | Six-Month Period |                   |
|                                                                                      | 2026            | 2025            | 2026             | 2025              |
| <b>Operating Expenses</b>                                                            |                 |                 |                  |                   |
| Transaction, legal and other costs <sup>1</sup>                                      | \$ 149          | \$ 49           | \$ 295           | \$ 128            |
| Benefit-related (gain) loss                                                          | (101)           | (70)            | (76)             | (64)              |
| Asset impairments and abandonments and restructuring                                 | 286             | —               | 286              | 504               |
| <b>Adjustments to Operations and Support Expenses</b>                                | <b>334</b>      | <b>(21)</b>     | <b>505</b>       | <b>568</b>        |
| Amortization of intangible assets                                                    | 84              | 9               | 141              | 18                |
| <b>Adjustments to Operating Expenses</b>                                             | <b>418</b>      | <b>(12)</b>     | <b>646</b>       | <b>586</b>        |
| <b>Other</b>                                                                         |                 |                 |                  |                   |
| Equity in net income of DIRECTV                                                      | —               | (503)           | —                | (1,926)           |
| Benefit-related (gain) loss, impairments of investments and other                    | (89)            | (189)           | (61)             | (125)             |
| <b>Adjustments to Income from Continuing Operations Before Income Taxes</b>          | <b>329</b>      | <b>(704)</b>    | <b>585</b>       | <b>(1,465)</b>    |
| Tax impact of adjustments                                                            | 81              | (168)           | 140              | (333)             |
| Tax-related items                                                                    | 365             | —               | 365              | —                 |
| <b>Adjustments to Income From Continuing Operations</b>                              | <b>\$ (117)</b> | <b>\$ (536)</b> | <b>\$ 80</b>     | <b>\$ (1,132)</b> |
| Preferred stock redemption gain                                                      | —               | —               | —                | (90)              |
| <b>Adjustments to Income From Continuing Operations Attributable to Common Stock</b> | <b>\$ (117)</b> | <b>\$ (536)</b> | <b>\$ 80</b>     | <b>\$ (1,222)</b> |

<sup>1</sup> Includes certain legal reserves and settlements that cover extended historical periods, novel theories of liability and/or are unpredictable in both magnitude and timing, and therefore are distinct and separate from normal, recurring legal matters. Such costs are presented net of expected insurance recoveries and are primarily associated with legacy legal matters and cybersecurity events.

Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA, Adjusted EBITDA margin and Adjusted diluted EPS are non-GAAP financial measures calculated by excluding from operating revenues, operating expenses, other income (expense) and income tax expense, certain significant items that are non-operational or non-recurring in nature, including dispositions and merger integration and transaction costs, actuarial gains and losses, significant abandonments and impairments, benefit-related gains and losses, employee separation and other material gains and losses. Management believes that these measures provide relevant and useful information to investors and other users of our financial data in evaluating the effectiveness of our operations and underlying business trends.

Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA, Adjusted EBITDA margin and Adjusted diluted EPS should be considered in addition to, but not as a substitute for, other measures of financial performance reported in accordance with GAAP. AT&T's calculation of Adjusted items, as presented, may differ from similarly titled measures reported by other companies.

| Adjusted Operating Income, Adjusted Operating Income Margin, Adjusted EBITDA and Adjusted EBITDA Margin |                  |                  |                  |                  |
|---------------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| <i>Dollars in millions</i>                                                                              |                  |                  |                  |                  |
|                                                                                                         | Second Quarter   |                  | Six-Month Period |                  |
|                                                                                                         | 2026             | 2025             | 2026             | 2025             |
| <b>Operating Income</b>                                                                                 | <b>\$ 7,038</b>  | <b>\$ 6,501</b>  | <b>\$ 13,696</b> | <b>\$ 12,255</b> |
| Adjustments to Operating Expenses                                                                       | 418              | (12)             | 646              | 586              |
| <b>Adjusted Operating Income</b>                                                                        | <b>\$ 7,456</b>  | <b>\$ 6,489</b>  | <b>\$ 14,342</b> | <b>\$ 12,841</b> |
| <b>EBITDA</b>                                                                                           | <b>\$ 12,004</b> | <b>\$ 11,752</b> | <b>\$ 23,628</b> | <b>\$ 22,696</b> |
| Adjustments to Operations and Support Expenses                                                          | 334              | (21)             | 505              | 568              |
| <b>Adjusted EBITDA</b>                                                                                  | <b>\$ 12,338</b> | <b>\$ 11,731</b> | <b>\$ 24,133</b> | <b>\$ 23,264</b> |
| Total Operating Revenues                                                                                | \$ 31,558        | \$ 30,847        | \$ 63,064        | \$ 61,473        |
| Operating Income Margin                                                                                 | 22.3 %           | 21.1 %           | 21.7 %           | 19.9 %           |
| Adjusted Operating Income Margin                                                                        | 23.6 %           | 21.0 %           | 22.7 %           | 20.9 %           |
| <b>Adjusted EBITDA Margin</b>                                                                           | <b>39.1 %</b>    | <b>38.0 %</b>    | <b>38.3 %</b>    | <b>37.8 %</b>    |



| Adjusted Diluted EPS                                                      |                |         |                  |         |
|---------------------------------------------------------------------------|----------------|---------|------------------|---------|
|                                                                           | Second Quarter |         | Six-Month Period |         |
|                                                                           | 2026           | 2025    | 2026             | 2025    |
| <b>Diluted Earnings Per Share (EPS) From Continuing Operations</b>        | \$ 0.66        | \$ 0.62 | \$ 1.21          | \$ 1.22 |
| Equity in net income of DIRECTV                                           | —              | (0.05)  | —                | (0.21)  |
| Restructuring and impairments                                             | 0.03           | —       | 0.03             | 0.05    |
| Benefit-related, transaction, legal and other items                       | 0.01           | (0.03)  | 0.03             | (0.01)  |
| Tax-related items                                                         | (0.05)         | —       | (0.05)           | —       |
| <b>Adjusted EPS</b>                                                       | \$ 0.65        | \$ 0.54 | \$ 1.22          | \$ 1.05 |
| <i>Year-over-year growth - Adjusted</i>                                   | 20.4 %         |         | 16.2 %           |         |
| <b>Weighted Average Common Shares Outstanding with Dilution (000,000)</b> | 6,946          | 7,219   | 6,987            | 7,221   |

### Net Debt to Adjusted EBITDA

Net Debt to EBITDA ratios are non-GAAP financial measures frequently used by investors and credit rating agencies and management believes these measures provide relevant and useful information to investors and other users of our financial data. Our Net Debt to Adjusted EBITDA ratio is calculated by dividing the Net Debt by the sum of the most recent four quarters Adjusted EBITDA. Net Debt is calculated by subtracting cash and cash equivalents and deposits at financial institutions that are greater than 90 days (e.g., certificates of deposit and time deposits), from the sum of debt maturing within one year and long-term debt.

| Net Debt to Adjusted EBITDA - 2026                  |                             |                            |                             |               |                |
|-----------------------------------------------------|-----------------------------|----------------------------|-----------------------------|---------------|----------------|
| <i>Dollars in millions</i>                          |                             |                            |                             |               |                |
|                                                     | Three Months Ended          |                            |                             |               | Four Quarters  |
|                                                     | Sept. 30, 2025 <sup>1</sup> | Dec. 31, 2025 <sup>1</sup> | March 31, 2026 <sup>1</sup> | June 30, 2026 |                |
| Adjusted EBITDA                                     | \$ 11,861                   | \$ 11,236                  | \$ 11,795                   | \$ 12,338     | \$ 47,230      |
| End-of-period current debt                          |                             |                            |                             |               | 9,323          |
| End-of-period long-term debt                        |                             |                            |                             |               | 134,631        |
| <b>Total End-of-Period Debt</b>                     |                             |                            |                             |               | <b>143,954</b> |
| Less: Cash and Cash Equivalents                     |                             |                            |                             |               | 17,570         |
| <b>Net Debt Balance</b>                             |                             |                            |                             |               | <b>126,384</b> |
| <b>Annualized Net Debt to Adjusted EBITDA Ratio</b> |                             |                            |                             |               | <b>2.68</b>    |

<sup>1</sup> As reported in AT&T's Form 8-K filed April 22, 2026.

| Net Debt to Adjusted EBITDA - 2025                  |                             |                            |                             |                            |                |
|-----------------------------------------------------|-----------------------------|----------------------------|-----------------------------|----------------------------|----------------|
| <i>Dollars in millions</i>                          |                             |                            |                             |                            |                |
|                                                     | Three Months Ended          |                            |                             |                            | Four Quarters  |
|                                                     | Sept. 30, 2024 <sup>1</sup> | Dec. 31, 2024 <sup>1</sup> | March 31, 2025 <sup>1</sup> | June 30, 2025 <sup>1</sup> |                |
| Adjusted EBITDA                                     | \$ 11,586                   | \$ 10,791                  | \$ 11,533                   | \$ 11,731                  | \$ 45,641      |
| End-of-period current debt                          |                             |                            |                             |                            | 9,254          |
| End-of-period long-term debt                        |                             |                            |                             |                            | 123,057        |
| <b>Total End-of-Period Debt</b>                     |                             |                            |                             |                            | <b>132,311</b> |
| Less: Cash and Cash Equivalents                     |                             |                            |                             |                            | 10,499         |
| Less: Time Deposits                                 |                             |                            |                             |                            | 1,500          |
| <b>Net Debt Balance</b>                             |                             |                            |                             |                            | <b>120,312</b> |
| <b>Annualized Net Debt to Adjusted EBITDA Ratio</b> |                             |                            |                             |                            | <b>2.64</b>    |

<sup>1</sup> As reported in AT&T's Form 8-K filed April 22, 2026.

